GMS WEEKLY

Your Source for Recycling News

February 18th, 2022
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Week 7

Highlights:

- **Big numbers.**
- **Tanker flavor.**
- **Steel firm.**
- **Charter hopes?**
- **China back.**

QUOTE of the WEEK

"The successful man will profit from his mistakes and try again in a different way."

– *Dale Carnegie*

MARKET COMMENTARY

PROMISING!

Another promising week passed in the sub-continent markets this week, with resurgent Pakistani and Bangladeshi (in particular) markets putting down some show stopping numbers on available units.

We have seen several Capes sold for HKC recycling in the mid USD 600s/LDT in recent weeks, especially as chartering rates in this sector have taken a bit of a dip. Tankers keep being introduced into the recycling markets and several deals have reportedly been concluded at levels in excess of USD 650/LT LDT in Bangladesh, as the Chattogram market heats up to some increasingly unprecedented levels.

Steel prices remain firm across all sub-continent locations and even the Indian market has started to come back into the picture, such is the demand emanating from all markets at present.

Finally, the Turkish market remains impeccably poised to place some record levels of their own, if only the dearth of tonnage wouldn't have kept the market so exquisitely stranded.

Overall, given some of the numbers on show, it is indeed surprising that not more candidates are being introduced for a recycling sale. Yet, there are likely enough inklings in the wet sector to suggest a turn in sentiments, which may lead even more Owners to hold on to their tonnage for now.

With Chinese production set to ramp up again now that Chinese New Year holidays and the winter Olympics are over, perhaps there is scope for further improvements on price as well.

For week 7 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Improving	620 / LDT	630 / LDT	640 / LDT
2	Pakistan	Improving	610 / LDT	620 / LDT	630 / LDT
3	India	Improving	580 / LDT	590 / LDT	600 / LDT
4	Turkey	Improving	360 / LDT	380 / LDT	390 / LDT

BANGLADESH

NO CEILING!

Leading way.

Bangladesh leads the way once again, with some of the best numbers in the sub-continent on any tonnage on offer or those units already in Cash Buyer hands.

With one HKC cape being sold to Bangladesh last week, India secured another HKC only Cape this week at even higher levels (albeit with over 1,000 Tons of bunkers on board) – to show that all markets are viable and are willing to strongly compete on available tonnage, at firm levels once again.

How high can go?

With several vessels being concluded well over USD 650/LT LDT, there is now the (worrying) speculation as to just how high this market can go. Notwithstanding, as long as steel plate prices (that are up another USD 12/Ton this week), the Bangladeshi Taka remains firm, and supply painfully sparse, there (hopefully) seems little to be worried about thus far!

NO MARKET SALES REPORTED

INDIA

REBOUND!

India has rebounded recently after a few nervy weeks following steel reversals and have even got back into the action, with Alang Recycling reportedly securing a couple of units.

Steel return.

Of course, there seems to be no competing with the rampant Pakistan and Bangladeshi markets at present, so firmly placed to secure tonnage are Buyers at those locations.

As such, rather than competing on standard Tankers and Bulkers, Indian Buyers are having to make do on a diet of specialist units such as fish factories, stainless steel tankers and HKC green vessels only.

Specialist and HKC.

On the local fundamentals front, local steel plate prices jumped a massive and nearly USD 20/Ton this week, boosting local sentiments. Even the Indian Rupee has firmed against the U.S. Dollar, to Rs. 74.3X during the course of the week, keeping Alang Buyers eager for tonnage.

NO MARKET SALES REPORTED

PAKISTAN

COMPETING!

Rivalling Bangladesh.

Pakistan remains closely competitive with the resurgent Bangladeshi market, particularly for those geographically positioned vessels that may be operating or being delivered to Cash Buyers on 'as is' basis in the UAE / PG region.

Steel plate prices remain firm and demand is certainly ripe in Gadani, as local Recyclers look to fill plots that have reportedly been vacant for some time.

Delivery concerns.

News about some rough deliveries at the start of the year is creating some disturbance amongst the recycling community and it may be that Sellers / Cash Buyers are looking to deliver their vessels elsewhere for now, rather than risk facing headaches at the final stages of delivery.

NO MARKET SALES REPORTED

TURKEY

FIRM…YET SLOW!

The Turkish market traveled through yet another slow week, despite local steel plate prices reportedly registering a minor improvement. Even the Lira, while egregiously weaker, remains stable at its worst.

Fundamentals steady

No reports of fresh arrivals or news of market units working, emanated from Aliaga this week as this has overall been a silent week.

Yet, demand remains firm, prices remain at record highs, and Turkey remains the only viable destination for units opening up in EU waters.

Viable destination.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Pound cake got its name because the original recipe required a pound each of butter, flour, sugar and eggs. That's a lot of cake—but it was meant to last for a long time.*
- *The difference between jam and jelly is that jam is made with mashed up fruit while jelly is made with fruit juice.*
- *Preserves are like jam but made with more whole fruit. Marmalade is preserves made from citrus fruit.*
- *Flamin' Hot Cheetos were developed by a janitor at Frito-Lay, Richard Montanez, who got the idea after putting chili powder on some reject Cheetos and then pitched it to the CEO. He's now a successful executive and motivational speaker, and a movie is in the works about his life.*
- *Coca-Cola actually sells soup in a can. Bistrone is a nourishing meal on the go, available in two flavors in Japan.*
- *The biggest pizza ever created was 13,580 square feet, made in Rome, Italy, in 2012. The pizza was gluten-free and named "Ottavia" after a roman emperor.*
- *The tallest building in the world is the Burg Khalifa in Dubai, standing at over 2,700 feet.*
- *The tallest building in the US is One World Trade Center in New York, which comes in at number six on the worldwide list. It stands at exactly 1,776 feet as a nod to the date of the Declaration of Independence.*
- *The Empire State Building in New York was the tallest building in the world from 1931 until 1971, and was the first building of over 100 floors.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
March 01 – Maha Shivratri March 19 - Holi	February 28 – March 06 March 17 – March 24

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
March 17 – Birthday of Sheikh Mujibur Rehman March 19 – Shab-e-Barat March 26 – Independence Day	March 03 – March 06 March 19 – March 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in March	March 23 – Pakistan Day	**No holidays in March.**

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ALANG - Port Position as of February 18, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*AD 100 (Under Tow)*	*5,576*	*Jack-up*	*Beached February 16*
2	*Brave (Under Tow)*	*1,810*	*Supply Vessel*	*Beached February 12*
3	*Express*	*2,999*	*Chemical Tanker*	*Beached February 17*
4	Hancon Trader	6,144	Chemical Tanker	Arrived February 16
5	**Harriet**	**2,292**	**Tanker**	**Arrived December 09**
6	*High One (Under Tow)*	*4,408*	*Barge*	*Beached February 12*
7	MNG Capt. James Cook (Under Tow)	2,778	Supply Vessel	Arrived February 12
8	*Perfect*	*4,235*	*Oil Tanker*	*Beached February 18*
9	*Silver*	*13,242*	*Oil Tanker*	*Beached February 17*
10	*Tiara*	*5,613*	*Oil Tanker*	*Beached February 18*
Total Tonnage		**49,096**		

CHATTOGRAM - Port Position as of February 18, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Noor	TBD	RoRo	Arrived February 18
2	*Ozersk*	*2,138*	*Reefer*	*Beached February 18*
3	*V.L. 10*	*1,215*	*Tanker*	*Beached February 12*
Total Tonnage		**3,352**		

GADANI - Port Position as of February 18, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	DB Global 1	1,563.00	Barge	Arrived February 01
2	Jicore 9	468.00	Tug	Arrived February 01
3	*SP 250*	*3,915.00*	*Barge*	*Beached February 16*
4	*Star 2*	*2,000.00*	*Tanker*	*Beached February 17*
5	Thuraya	11,916.00	Tanker	Arrived February 14
6	*Y Harmony*	*31,198.20*	*Cruise Ship*	*Beached February 18*
Total Tonnage		**51,060**		

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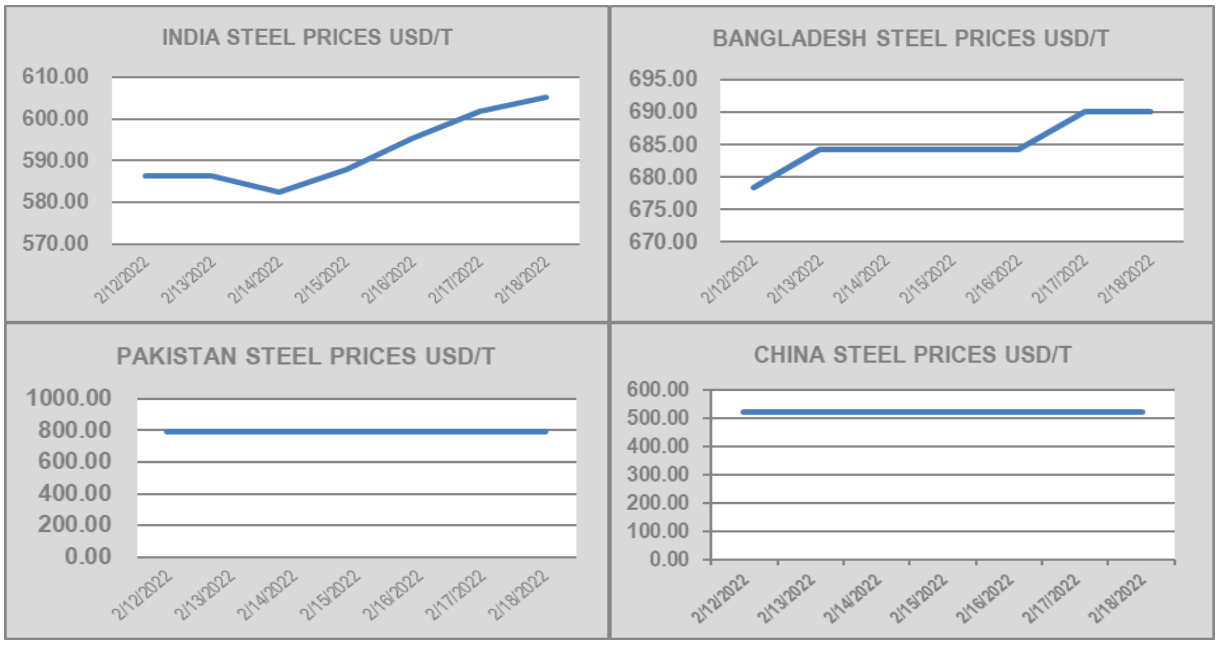
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/12/2022	586.36	44,200.00	794.29	139,000.00	678.36	58,000.00	523.93
2/13/2022	586.36	44,200.00	794.29	139,000.00	684.21	58,500.00	523.93
2/14/2022	582.40	44,000.00	794.29	139,000.00	684.21	58,500.00	523.93
2/15/2022	587.92	44,300.00	794.29	139,000.00	684.21	58,500.00	523.93
2/16/2022	595.44	44,700.00	794.29	139,000.00	684.21	58,500.00	523.93
2/17/2022	601.78	45,200.00	794.29	139,000.00	690.06	59,000.00	523.93
2/18/2022	605.33	45,400.00	794.29	139,000.00	690.06	59,000.00	523.93



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